

Regulation FR-14: Capital Adequacy and Liquidity Requirements for Depository Institutions

Domain: Financial Regulation — Synthetic document generated for demo purposes.

Minimum Capital Ratios

A covered depository institution must maintain a Common Equity Tier 1 capital ratio of at least 4.5 percent of total risk-weighted assets at all times.

The minimum total capital ratio, comprising Tier 1 and Tier 2 capital, is set at 8.0 percent of total risk-weighted assets.

In addition to minimum ratios, a capital conservation buffer of 2.5 percent of risk-weighted assets, composed entirely of Common Equity Tier 1 capital, must be maintained to avoid restrictions on capital distributions.

An institution designated as a global systemically important bank must hold an additional common equity surcharge ranging from 1.0 to 3.5 percent of risk-weighted assets, determined by its systemic risk score.

Liquidity Coverage Ratio

Covered institutions must maintain a Liquidity Coverage Ratio of at least 100 percent, ensuring high-quality liquid assets are sufficient to cover total net cash outflows over a 30-calendar-day stress period.

High-quality liquid assets are classified into Level 1 assets, which are not subject to a haircut, and Level 2 assets, which are subject to haircuts of 15 to 50 percent depending on subcategory.

Level 2 assets in aggregate may not exceed 40 percent of an institution's total stock of high-quality liquid assets after applicable haircuts.

Stress Testing

Covered institutions with total consolidated assets of 100 billion dollars or more must conduct an annual company-run stress test under baseline, adverse, and severely adverse scenarios published by the regulator.

Results of the annual company-run stress test must be submitted to the regulator no later than April 5 of each calendar year and published in a public summary within 15 days of submission.

An institution that fails to maintain a post-stress Common Equity Tier 1 ratio above 4.5 percent under the severely adverse scenario must submit a capital remediation plan within 30 days.

Reporting Requirements

Covered institutions must file the quarterly regulatory capital report, Form FR-14Q, no later than 30 calendar days after the end of each fiscal quarter.

Material errors discovered in a previously filed capital report must be disclosed to the regulator within 5 business days of discovery, along with a corrected filing.

The chief financial officer or equivalent senior officer must personally attest to the accuracy of each quarterly capital report prior to submission.

Net Stable Funding Ratio

Covered institutions must maintain a Net Stable Funding Ratio of at least 100 percent, comparing available stable funding to required stable funding over a one-year horizon.

Enforcement and Penalties

An institution that fails to meet minimum capital ratios for two consecutive quarters is classified as undercapitalized and becomes subject to mandatory restrictions on asset growth and executive compensation.